

Markets and models

Changing your business model and the market in which you operate may be more difficult, as they can affect the structure of your organization. However, they can prove extremely profitable: cell-phone makers at the turn of the century successfully transformed their product from a staid business tool into a mass-market fashion item with a strong youth market. Similarly, luxury car makers such as Rolls Royce, unable to compete on price with cheaper car producers, changed their business model to supply the trappings of a luxury lifestyle—vacations, watches, designer clothes—rather than simply a mode of transportation.



IN FOCUS...

OPEN INNOVATION

Innovation has always been a multiplayer game, involving weaving together technological, market, financial, legal, and other strands into creating new products, services, and processes. But in a world where markets are fragmented and globally spread, and global investments in R&D produce nearly \$1 trillion of new knowledge every year, even the largest firms with big innovation budgets are increasingly aware of the importance of sharing knowledge. The idea of “open innovation”—originally the title of a book by US professor Henry Chesbrough—is that firms need to open up their innovation search and share their own knowledge.

CHANGING BUSINESS CONTEXT

The position—who you offer it to in the market and the story you tell about it.

CHANGING BUSINESS MODEL

The business model—the way you think about what your organization does and for whom.